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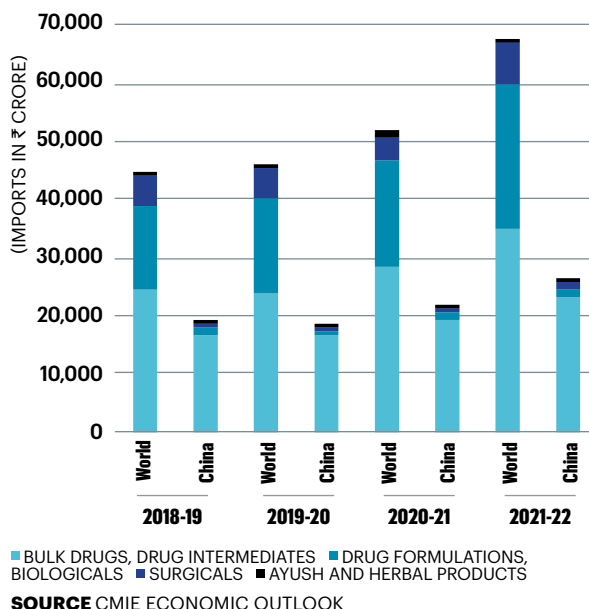
SWELLING RESEARCH COSTS and import dependency—two major afflictions that India’s pharmaceuticals industry seemed helpless against until a few years ago. Hopes were raised when the central government unveiled a production-linked incentive (PLI) scheme in the middle of the pandemic to foster domestic production of key import items such as active pharmaceutical ingredients (APIs), the raw material for making a drug. The pandemic had stifled global supply chains and exposed India’s heavy dependence on China for its pharma requirements. At a time when basic raw materials for drug-making became scarce because of the lockdowns, India’s PLI scheme was aimed at muscling up the domestic \$50-billion pharma industry and ring-fencing it from Covid-19-like future black swan events and, in the bargain, reduce its dependence on China.

However, things have not panned out the way they were expected to; at least not yet. Almost three years since the PLI scheme was launched, India’s reliance on China for APIs and other pharma products has only increased. Per data from the Ministry of Chemicals and Fertilisers, the import of bulk drugs or APIs and drug intermediates (materials produced during API synthesis) from China rose 20 per cent from FY21 to ₹23,273 crore in FY22, which was 66 per cent of India’s total imports of medical products worth ₹35,249 crore that fiscal. And data from the commerce ministry shows that imports of 30 key medical devices have gone up by 25-152 per cent during April-December 2022 compared to a year ago.

The above numbers are emblematic of the slow progress the government’s PLI scheme has made in pharma

RIISING DEPENDENCE

India’s imports of raw materials required in manufacturing drugs have increased consistently over the past few years



and medical devices manufacturing.

The world relies on India’s pharma industry—the world’s third-largest by production volume—for its medicinal needs, with nearly 8 per cent of all pharma products by volume being produced in the country. In the past nine years, the Indian pharma industry has grown steadily at a CAGR of 9.43 per cent. And its size could increase to \$65 billion by 2024 and \$130 billion by 2030, predicts the Department of Pharmaceuticals. Despite such strong numbers, India’s import dependence on China remains alarmingly high—as much as 90-100 per cent for some critical raw materials that go into manufacturing high-selling drugs such as paracetamol, penicillin, ibuprofen and vitamin B12, among others.

Another nuance is that Covid-19 has provided India a chance to revamp its pharma industry and switch from primarily producing generics to manufacturing higher-margin licensed drugs. Amid this backdrop, the Indian

SPANNERS IN THE WORKS



◀ It takes three to four years to set up an API plant in India, compared to 1-1.5 years in China



◀ The cost advantage of importing APIs from China is likely to reduce in magnitude over time

